

HOUSE BILL 1096

By Sexton

AN ACT to amend Tennessee Code Annotated, Title 4,
relative to community benefits agreements.

WHEREAS, Tennessee, as part of its economic development policy, has the right to set terms and conditions in connection with the awarding of economic development incentives; and

WHEREAS, Tennessee, as part of its economic development policy, seeks to play an integral role in the formulation of economic opportunities, conditions of grants, and general management of compliance with such awards of money; and

WHEREAS, Tennessee will oftentimes, as part of awarding economic development incentives, oversee compliance with land use regulations, including management of a subdivision of property; offer and provide water and wastewater services; require fire protection systems and mechanical systems for buildings and structures; approve capital grants; and ensure such is approved by the State Building Commission; and

WHEREAS, Tennessee will oftentimes, as part of awarding economic development incentives, also require a private business to hire a certain number of new full-time employees, require a specific amount of company investment, and ensure workers obtain certain skills and knowledge; and

WHEREAS, Tennessee, as part of its economic development policy, has a vested interest in seeking to advance and preserve its own interest in projects receiving economic development incentives as a financier of projects contributing to the state's overall economic health; now, therefore,

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 4-3-739(a), is amended by adding the following new, appropriately designated subdivisions:

() "Community benefits agreement" means an agreement or understanding of any type between an employer and a community group, organization, or other third-party, other than the state, that:

(A) Contractually binds the employer to fund or provide specific attributes, services or amenities, mitigations, or anything of value to a community or organization;

(B) Establishes employment criteria of any type or form, including wage and hour criteria; or

(C) Provides for or requires the employer to utilize a trade union or other unionized workforce where the employees collectively bargain with employers for wages, hours, or working conditions;

() "Community group" means an organized collective of people with similar interests or aims;

() "Organization" means a nongovernmental entity of any type, including, but not limited to, a nonprofit corporation, an organization, a club, an association, or a group;

SECTION 2. Tennessee Code Annotated, Section 4-3-739(b)(1), is amended by adding the following new subdivision:

(D) Enter into a community benefits agreement or any similar legal contract if the agreement or contract imposes obligations or conditions on the employer regarding employment practices, benefits, or operations that are not directly related to the performance of the employer's duties under the economic development incentive;

SECTION 3. This act takes effect upon becoming a law, the public welfare requiring it, and applies to contracts executed, renewed, or otherwise modified on or after the effective date of this act.